SkillSimm: Alien Chef Arena — Business Plan

A competitive AI-refereed simulation game, and the consumer proving ground for the SkillSimm scene engine.

A SkillSimm Production Case · Plan date: July 2026 · Planning horizon: FY2026 Q3 – FY2029 Q2

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1. Executive Summary

The product. *Alien Chef Arena* is a browser-based competitive simulation game hosted on SkillSimm.com. Players are chefs serving alien civilizations. Each round they receive an ingredient inventory and a client species with its own biology, taste rules, taboos, and cultural context, and they must compose a dish. An AI Game Master called **ALIENT** scores the result across flavor balance, texture, nutrition, creativity, and cultural preference match — then writes the consequences into a persistent story that carries forward. Win, and your dish becomes a planet's celebration dish. Lose, and a rival gains ground and you face a recovery challenge.

Why it is different. Cooking games are everywhere; they are almost all *pattern-matching under time pressure* — tap the right ingredient in the right order. Alien Chef Arena is **reasoning under novel constraints**: the player has never seen this species before, must infer what it will like from its described biology and culture, and must justify a combination that no lookup table contains. Because an AI judges the result, the space of valid solutions is open rather than pre-listed, and the story consequence of every round is written fresh rather than picked from a script.

Strategic role. Alien Chef Arena is not a side project. It is the consumer-facing proof of the SkillSimm scene engine — the same machinery that runs professional AI-workflow simulations, wearing an approachable costume. It serves three business purposes at once:

1. **Revenue** from a consumer entertainment product with strong retention mechanics.
2. **Distribution** — it puts a SkillSimm-branded product in front of streamers, students, and educators who would never evaluate an enterprise simulation platform.
3. **Engine hardening** — thousands of players stress-test scoring consistency, resistance to players trying to talk the referee into a better score, cost per round, and story persistence far more cheaply and quickly than enterprise pilots can.

Market. The global simulation and management game segment is a multi-billion-dollar category, and AI-native games are its fastest-emerging niche. Our beachhead is narrower and sharper: the roughly 8M English-speaking players who follow AI-driven interactive fiction and emergent-systems games, plus a secondary educational market of culinary, nutrition, world-building, and creative-writing classrooms.

Business model. Free-to-play with a generous daily round allowance, converting to **Chef's Pass at $6.99/month or $59/year** (unlimited rounds, ranked tournaments, expansion species, cosmetic chef identity), plus seasonal competition entries and an educational classroom license at $199/year per instructor.

Financial highlights (modeled, assumptions in §9).

Measure	FY1	FY2	FY3
Registered players	42,000	210,000	620,000
Paying subscribers	1,750	12,600	43,400
Revenue	$142K	$986K	$3.42M
Gross margin	71%	78%	82%
Operating result	($188K)	+$61K	+$1.13M

FY1 ends June 2027; FY2 June 2028; FY3 June 2029.

The central economic fact. In an AI-judged game, *the cost of judging is the cost of goods sold.* Every round costs real money to referee. The entire business hinges on driving that cost from a naive ~$0.006 down to under $0.0015 per round — while keeping the quality of the judgment high enough that players trust the score. §9.3 treats this as the primary financial risk, because it is.

The ask. $350,000 seed to fund an 18-month build to profitability: two engineers, one AI narrative designer, a community manager, and the cost of refereeing free players during the growth phase.

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2. Products and Services

2.1 Core gameplay loop

Step	What happens
Round brief	ALIENT presents a client species — biology, palate, culture, taboo, occasion — plus this round's ingredients.
Composition	The player picks ingredients, a technique, and a presentation, and writes a one-line rationale.
Adjudication	ALIENT scores the dish against that species' criteria and explains its verdict in character.
Consequence	Success or failure is written into the story: reputation shifts, rivals react, supply changes.
Progression	Recipes unlock, the species roster expands, tournament seeding moves.

A round takes 90–180 seconds. A session is typically 5–12 rounds.

2.2 The five pillars

1. ALIENT, the AI Game Master. ALIENT is a character, not a scoring function. It has a clinical, faintly amused voice, it explains *why* a dish worked, and it remembers. It is held to a fixed scoring rubric — each species carries hard rules, soft preferences, and taboos — so scores stay defensible, while its commentary and story are written fresh. The design goal is that a player who loses feels *informed*, not cheated — the single hardest requirement in an AI-judged game.

2. Alien species as designed constraint systems. Each species is authored with its metabolic requirements, texture tolerances, flavor preferences, cultural taboos, seasonal occasions, and a signature failure mode. The Zorblaxians, for instance, tolerate Plasma Milk only below a certain concentration — a rule that is discoverable through play, stated nowhere, and punished specifically. This is what makes the game a *reasoning* game: the challenge is inference, not memorization, and a species remains interesting after it is understood because occasions and inventories vary.

3. Competitive tournaments. Asynchronous ranked play where all competitors receive the identical brief and inventory, so scores are directly comparable. Weekly ladders, seasonal championships, and a Galactic Finals bracket. Fair comparison requires the referee to score consistently, which is why identical-brief tournaments are also our best internal test of whether it does.

4. Persistent narrative progression. Reputation, unlocked recipes, planetary relationships, rival chefs, and supply availability all carry across rounds and seasons. A player's account accumulates a story that is genuinely theirs — the retention mechanic and the reason a lapsed player returns.

5. Consequence design — losing is content. Failure produces a recovery challenge, a rival advantage, or a lost contract, all narrated. Most AI games punish failure with a retry button; Alien Chef Arena makes the loss a story beat that changes the next round.

2.3 What we sell

Offer	Price	Contents
Free	$0	8 rounds/day, core species, story progression, unranked play
Chef's Pass	$6.99/mo or $59/yr	Unlimited rounds, ranked play, full roster, cosmetics, replays
Season Pass	$9.99/season	One championship: exclusive species arc, bracket entry, cosmetics
Expansion Arcs	$4.99 each	Self-contained campaigns with new species and mechanics
Cosmetics	$1.99–$7.99	Chef looks, kitchen themes, ALIENT voices — no gameplay advantage
Classroom License	$199/yr	Up to 40 students, instructor dashboard, no purchase surfaces
Creator Toolkit (FY3)	Rev-share	Community-authored species, curated and revenue-shared

We do not sell competitive advantage. No paid ingredient packs, no score boosts, no pay-to-win. In a game whose entire premise is that the AI judges fairly, monetizing the outcome would destroy the product. Cosmetics, content, and volume only.

2.4 Platform assets reused

Alien Chef Arena runs on the SkillSimm simulation platform, reusing the scene engine that drives SkillSimm's professional simulations, its AI model management, its saved-session handling, its scoring infrastructure, and its player-facing web interface.

Game-specific work is the species content system, the recipe scoring rubric, the tournament ladder, and the ALIENT character and story memory. Roughly 60% of the required engineering already exists as platform infrastructure — the reason this title can be built for $350K rather than $2M.

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3. Market Analysis

3.1 Industry context

Three currents make this the right moment.

Simulation and management games are durable and large. Cooking and restaurant management is one of the most reliably monetizing casual-to-midcore genres — *Overcooked*, *Cooking Dash*, *Good Pizza Great Pizza*, and dozens of mobile titles have shown that food, pressure, and progression retain players for years. The genre's persistent weakness is content exhaustion: hand-authored levels run out, and the loop becomes rote.

AI-native games are past the novelty phase. AI Dungeon, Character.AI's roleplay surface, and a wave of AI-refereed indie titles established that players will pay for generated narrative, and — more importantly — taught the category its failure modes: inconsistency, memory loss, unbounded cost, and judgments players don't trust. A title that solves those four problems has a real position.

Generated content solves the genre's content problem. An AI Game Master working inside an authored rule system produces effectively unbounded scenarios at low marginal cost, which is the direct antidote to content exhaustion in simulation games.

3.2 Target audience

Primary — Systems players (est. 3.5M reachable, English-speaking). Players who enjoy inferring hidden rules: *Outer Wilds*, *Return of the Obra Dinn*, *Baba Is You*, deckbuilders, and the puzzle-adjacent simulation audience. They will tolerate a slower loop for a smarter one, and they are the audience most likely to notice and respect fair AI judgment.

Primary — AI storytelling enthusiasts (est. 2.5M). The audience already paying for AI Dungeon, NovelAI, and Character.AI. They arrive pre-sold on generated narrative; our differentiation for them is *stakes* — a score and a consequence, not open-ended text.

Secondary — Streamers and content creators (est. 40K relevant). Alien Chef Arena is structurally good streaming content: a creative decision, a suspenseful verdict, an unpredictable outcome, and chat participating in the composition. Every stream is both content and a demonstration of the SkillSimm engine.

Secondary — Educators (est. 120K US instructors in adjacent subjects). Culinary arts, nutrition science, creative writing, world-building, science units, and ESL. The game exercises constraint reasoning and written justification, both of which are gradeable. The classroom license is deliberately monetization-free.

Tertiary — SkillSimm's own enterprise pipeline. Every enterprise buyer evaluating SkillSimm can be shown a live, polished, publicly playable expression of the engine. This is worth more as a sales asset than most demos we could build directly.

3.3 Market sizing

TAM. Global simulation and management games plus AI-narrative games represent a market measured in billions annually. We do not claim a share of it; the number is context, not a target.

SAM — reachable audience for this specific title.

Segment	Reachable players	Basis
Systems and puzzle-simulation players	3,500,000	Audience overlap for constraint-reasoning titles
AI storytelling audience	2,500,000	Active users across AI-narrative platforms
Casual cooking-game crossover	1,800,000	Conservative 2% of a very large casual base
Education (students via instructors)	250,000	120K instructors, low adoption, class size
Total SAM	**~8,050,000**	

At a 7% eventual paid-conversion rate on engaged players and $63 blended annual revenue per player, the SAM supports a theoretical **$35M/year** ceiling. This is a ceiling, not a forecast.

SOM — 3-year target. 620,000 registered players and 43,400 subscribers by FY3 = **7.7% of SAM registered, 0.54% of SAM paying.** Modest, and achievable without a hit.

3.4 Why players will pay

Free-to-play converts when the free tier is genuinely satisfying and the paid tier removes a felt constraint rather than an artificial one. Ours:

- **The round cap is honest.** Eight rounds is a real session. Players hit the cap because they are enjoying it, not because we interrupted them.
- **Ranked play is the social hook.** Competing on an identical brief against a ladder is what turns a solo game into a habit, and it is paid.
- **Story continuity has sunk value.** A player 40 rounds into a reputation arc with three planetary relationships and a rival has something to lose.
- **Seasons create cadence.** A new species arc every ten weeks gives lapsed players a reason to return and gives us a predictable revenue rhythm.

3.5 Risks in the market read

The honest counter-case: AI-narrative games have a **retention problem**. Novelty carries players through week one; generated content that lacks stakes loses them by week three. Our entire design response is stakes and persistence — scored outcomes, consequences that compound, ranked comparison. If day-30 retention comes in under 8%, the free-to-play model does not work and we pivot to a premium one-time-purchase title with a much smaller but more certain business. That decision point is explicit in §7.

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4. Competition

4.1 Competitive landscape

Competitor	Category	Where they beat us	Where we beat them
Overcooked 1 & 2	Co-op cooking chaos	Local multiplayer joy, polish, brand	No reasoning, no persistence, fixed content
Cooking Dash and mobile sims	Casual time management	Enormous install base, proven monetization	Pattern-matching loop; content runs out
Good Pizza, Great Pizza	Narrative cooking sim	Charm, authored characters, low price	Hand-authored and finite; no competition
AI Dungeon / NovelAI	AI narrative	Established audience, mature tooling	No stakes, no scoring, weak progression
Character.AI roleplay	AI conversation	Massive scale, free	Not a game; no objectives, no win condition
Slice & Dice, deckbuilders	Systems roguelikes	Tight, trusted, predictable rules	Fixed rule sets; no fresh constraint spaces
AI-refereed indies	Direct analogues	First-mover energy	No consistency guarantee, no cost discipline

4.2 Competitive advantages

1. Judgment that is creative but bounded. Species carry hard rules and a fixed scoring rubric; ALIENT reasons within them. Pure-AI competitors produce inconsistent verdicts that players learn to distrust; pure-rules competitors run out of content. The hybrid is the product.

2. Fair comparison as a design commitment. Identical briefs and identical inventories in ranked play mean scores mean something. This is a harder promise than it sounds — the referee has to reach the same verdict on the same dish every time — and it is the foundation of the competitive layer that drives our retention.

3. Losing is designed content. Almost no AI game does this. Failure that generates a recovery challenge and a rival advantage converts the most common player experience from frustration into story.

4. Platform leverage. Roughly 60% of the engineering already exists as SkillSimm infrastructure. Our cost to ship and cost to iterate are both structurally lower than an independent studio's.

5. Cost discipline as a moat. Most AI-game entrants have not confronted what it costs to referee a round. Getting that under $0.0015 while keeping judgment quality high is a genuine achievement, and it determines who can afford to run a free tier at scale. This is a boring moat and a real one.

6. The dual-market position. Alien Chef Arena is simultaneously a consumer product and an enterprise sales asset. No competitor in either market has that.

4.3 What we are not

We are not competing on production values with a funded studio. The art direction is deliberately stylized and inexpensive; the value is in the reasoning and the writing. If the game needs AAA visuals to work, it does not work.

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5. Marketing and Sales

5.1 Positioning

Primary: *"Cook for aliens who have never tasted human food. An AI referees, and the consequences are permanent."*

For systems players: "Every species is a puzzle. The rules are never stated. You get one plate."

For the AI-story audience: "AI narrative with stakes. A score, a rival, and a story that remembers you lost."

For educators: "Constraint reasoning and written justification, disguised as a cooking tournament."

5.2 Launch strategy

Phase 1 — Closed alpha (Q4 2026, 500 players). Recruited from AI-game and systems-game communities. The single question we are answering: *do players trust ALIENT's scores?* If they do not, nothing else matters. We measure score disputes, perceived fairness, and day-7 retention.

Phase 2 — Open beta (Q1 2027). Free, no monetization, ~15,000 players. Goals: validate day-30 retention above 8%, drive cost per round below $0.002, and run the first tournament season. Monetization stays off so the retention data is clean.

Phase 3 — Commercial launch (Q2 2027). Chef's Pass enabled, first paid season, streamer campaign, storefront presence.

5.3 Acquisition channels

Creator-led (primary, 45% of FY1–FY2 budget). The game is built for watching. We target mid-sized creators (10K–200K) in AI-content, cozy-game, and puzzle-game niches, offering early access, custom species named for their communities, and creator tournament brackets. Chat-participates-in-the-dish is a natural stream format we design for explicitly. Target: 60 creator activations in FY2.

Community-led. Genuine presence in game development, incremental-game, AI-narrative, and procedural-generation communities, in cozy and simulation game servers, and in indie devlogs. The development story — building an AI referee players trust — is itself content that this audience follows.

Storefront and discovery. Web-first at SkillSimm.com (no store cut, no review gate), followed by a Steam release in FY2 for discovery and wishlisting. Mobile is explicitly out of scope until FY3: the loop is text-heavy and the store economics are worse.

Educational channel. Direct outreach to culinary programs, nutrition departments, and creative-writing instructors, plus presence at educational-simulation showcases. The classroom license is low-revenue and high-credibility; it exists to build institutional legitimacy and to feed SkillSimm's education relationships.

Owned content. Weekly species reveals, tournament recaps, and "best dish of the week" posts. Player-generated dishes are inherently shareable, which makes the community the content engine by FY2.

5.4 Monetization design principles

1. **Never monetize the outcome.** No score boosts, no advantage purchases, ever.
2. **The free tier must be a complete experience**, not a demo.
3. **Season cadence over urgency mechanics.** No countdown-timer manipulation, no loot boxes.
4. **Classroom mode is monetization-free.** Students see no purchase surfaces.
5. **Price for habit, not for whales.** A $59 annual pass held for three years is worth more than a $200 whale who resents us.

5.5 Conversion funnel (FY2 targets)

Stage	Rate	FY2 volume
Visitor to registered player	22%	210,000 registered
Registered to activated (3 rounds)	58%	122,000
Activated to day-7 retained	31%	38,000
Day-7 to day-30 retained	34%	12,900
Day-30 retained to subscriber	62%	8,000 new subs
Subscriber annual retention	54%	12,600 ending subs

The binding constraint is day-7 to day-30. Everything in the product roadmap that is not judgment quality is aimed at that single transition.

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6. Operations

6.1 How the game runs

Alien Chef Arena is played in a web browser on desktop or phone, with nothing to install — the same low-friction argument that works for every SkillSimm product. It runs on shared SkillSimm infrastructure and reuses the simulation engine rather than rebuilding one, so the game-specific work is confined to species content, the scoring rubric, the tournament ladder, and ALIENT itself.

From day one we track four things per round: what it cost, how long it took, how the scores were distributed, and how often players disputed a verdict. An AI-judged game without those numbers is flying blind into its own P&L.

6.2 How ALIENT judges — the operational core

This is where the game is won or lost, both in quality and in cost.

Three levels of judgment. Not every round needs the most capable AI.

- *Hard rules* — fixed logic checks the absolute constraints and taboos. It costs nothing and catches the Plasma-Milk-over-threshold class of failure instantly, and identically every time.

- *Scoring* — a small, fast model rates the judgment calls against the rubric. This is the bulk of round volume.
- *Story* — the most capable model writes consequences, rival reactions, and story beats. It is called on rounds where the outcome matters, not on every round.

Paying once for what repeats. Species definitions, rubrics, world lore, and ALIENT's personality are large and identical on every round. Paying for that constant portion once rather than on each round is the single technique that separates a viable free tier from an unviable one.

Structured scores. Scores come back as clean numbers rather than prose to be interpreted. This makes the judgment auditable, makes score distributions monitorable, and makes tournament fairness verifiable.

A consistency check before every change. We keep a library of several hundred known species-and-dish combinations with the score range each should receive. Any change to the model or the rubric is run against it, and a change that moves scores outside those ranges does not ship. This is how we keep a competitive ladder honest across AI upgrades — and it is the asset that most directly transfers back to SkillSimm's enterprise products.

6.3 Content operations

Species are the game's content unit. Each requires: biology and palate definition, hard rules and taboos, cultural context, occasion variants, a signature failure mode, and art. Target production: **6 species per month** at steady state, from one narrative designer plus contract art. Seasons bundle 8–10 species into a themed arc.

Community-authored species enter in FY3 through the Creator Toolkit, with curation and revenue share — the point at which content cost decouples from headcount.

6.4 Trust, safety, and abuse

- **Players will try to talk ALIENT into a better score.** They will write instructions to it inside their dish rationales. Defending against that is required before any public ranked play: a player who argues their way to a perfect score destroys the ladder.
- **Content moderation.** Player-written dish names and rationales appear publicly on ladders; automated filtering plus a report process is required at beta.
- **Rate limits and cost abuse.** Round caps are enforced on our side, protecting both fairness and spend.
- **Classroom safety.** Education mode disables public chat, hides names on ladders, and removes every purchase surface.

6.5 Live operations

Weekly ladder resets, ten-week seasons, monthly species drops, and a published patch cadence. Ranked integrity requires that scoring not change mid-season; changes to the AI or the rubric are batched to season boundaries and announced. This is a real operational constraint that competitive players will hold us to.

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7. Milestones and Metrics

7.1 Milestones

Phase	Window	Deliverables	Exit criteria
P0 — Prototype	Q3 2026	Core loop, 6 species, single-player rounds, basic scoring	20 playtesters complete 10+ rounds voluntarily
P1 — Referee hardening	Q4 2026	Hard-rule engine, consistency checks, abuse defense, story memory	**Score-trust ≥ 75%**; disputes < 6%; cost/round < $0.004
P2 — Open beta	Q1 2027	24 species, progression, story persistence, first tournament	**Day-30 retention ≥ 8%**; cost/round < $0.002
P3 — Launch	Q2 2027	Chef's Pass, Season 1, cosmetics, creator campaign, Steam page	1,750 subscribers; conversion ≥ 4% of retained
P4 — Scale	FY2	Steam release, 4 seasons, classroom license, expansions	12,600 subscribers; $986K revenue; breakeven
P5 — Platform	FY3	Creator Toolkit, community species, mobile study, localization	43,400 subscribers; $3.4M revenue

Explicit kill/pivot gates. These are decisions, not aspirations:

- If **score-trust is under 60%** at the end of P1, the AI-judgment premise fails and the project stops or becomes a rules-based game with AI narration only.
- If **day-30 retention is under 6%** at the end of P2, free-to-play is not viable; pivot to a $19.99 premium title with a much smaller model.
- If **cost per round is over $0.004** at the end of P2, the free tier shrinks to 4 rounds a day and the growth model is re-forecast.

7.2 Metrics

Product quality (leading everything)

- Score-trust: share of players agreeing "the scoring felt fair" — target **80%**
- Dispute rate: rounds flagged as unfair — target **under 4%**
- Consistency: score variation on identical inputs — target **under 4 points in 100**
- Round wait time — target **under 8 seconds**

Engagement

- Day 1 / 7 / 30 retention — target **42% / 31% / 11%**
- Rounds per session — target **7**
- Sessions per week per active player — target **3.4**
- Story depth (rounds into a reputation arc) — target median **35**

Monetization

- Day-30 retained to subscriber — target **62%**
- Blended revenue per player — $63/yr (FY1) to $79/yr (FY3)
- Subscriber annual retention — target **54%**

- Season pass attach rate among subscribers — target **48%**

Economics

- **Cost per round** — target **under $0.0015** by FY2
- Refereeing cost as a share of revenue — target **under 18%** by FY3
- Cost of a free player per month — target **under $0.35**
- CAC — target **under $11** blended

Strategic

- Enterprise SkillSimm demos that reference Alien Chef Arena — target 40% by FY2
- Consistency improvements ported back to the SkillSimm platform — target 4 per year

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8. Company Overview and Team

8.1 Structure

Alien Chef Arena is a product line of **SkillSimm**, hosted on SkillSimm.com and running on shared platform infrastructure. It is not separately incorporated. The rationale is explicit: the title exists to earn revenue *and* to harden and demonstrate the engine, and separating it would sever the second purpose while duplicating overhead.

If the title reaches $3M+ ARR and its roadmap diverges materially from SkillSimm's enterprise direction, a studio subsidiary becomes worth revisiting. Not before.

8.2 Team

Current

- **Product Lead / Founder** — game design, business, platform integration. Owns the score-trust problem, which is the product's central risk.

Planned hires

Role	Timing	Responsibility	Cost
AI Narrative Designer	Q3 2026	ALIENT, species authoring, consequence design, rubric quality	$95K
Game Engineer	Q3 2026	Client, progression, tournament ladder, live ops	$115K
AI / Platform Engineer	Q4 2026	Judgment quality, cost control, consistency, abuse defense	$130K
Community Manager	Q1 2027	Creators, community, seasons, player communication	$62K
Contract artist	Ongoing	Species art, cosmetics, interface	$40K/yr
Contract QA	Q4 2026	Alpha and beta cohorts, consistency review	$28K/yr

Advisors sought: one live-ops veteran from a subscription game, one competitive-game designer (ladder integrity), and one culinary or nutrition educator (classroom credibility and species plausibility).

8.3 Core values

- **The referee must be trustworthy.** Every decision serves score-trust first.
- **Never sell the outcome.** Cosmetics and content only.
- **Losing is content.** Design failure as a story beat, not a punishment.
- **Cost is a design constraint.** A round we cannot afford to referee is a round we do not ship.
- **The engine is the asset.** What we learn making a game fair transfers to making a professional simulation defensible.

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9. Financial Plan and Forecasts

All figures are **modeled projections** from the stated assumptions. Fiscal years run July–June. FY1 = Jul 2026 – Jun 2027 (launch mid-FY1).

9.1 Startup requirements

Item	Amount	Notes
AI Narrative Designer (12 mo)	$95,000	Species content and ALIENT
Game Engineer (12 mo)	$115,000	Client, progression, tournaments
AI / Platform Engineer (9 mo)	$97,500	Judgment quality and cost control
Community Manager (6 mo)	$31,000	From open beta
Contract art	$40,000	Species, cosmetics, interface
Contract QA and playtest	$28,000	Alpha and beta cohorts
Refereeing free players	$34,000	The cost of acquiring players in an AI game
Infrastructure and tooling	$14,000	Hosting, telemetry, payments, storefront
Marketing and creator activations	$58,000	
Legal, entity, ratings, accounting	$12,000	
Contingency (10%)	$52,400	
Total	**$576,900**	

Funding sought: $350,000, with the balance covered by SkillSimm platform revenue and deferred founder compensation. If only $350K is available, the AI/Platform Engineer starts in Q1 2027 rather than Q4 2026 and open beta slips one quarter.

9.2 Revenue forecast

Stated assumptions:

- Commercial launch Q2 2027 (mid-FY1); FY1 monetization covers ~4 months.
- Registered to activated 58%; activated to day-30 ~11%; day-30 retained to subscriber 62%.

- Blended revenue per player $63 (FY1), $71 (FY2), $79 (FY3), rising through season pass and expansion attach, not price increases.
- Subscriber annual retention 54%.
- Cosmetics and expansions contribute 19% of consumer revenue by FY3.
- Classroom licenses: 40 (FY1), 280 (FY2), 900 (FY3) at $199.
- No mobile revenue in the forecast horizon.

Line	FY1	FY2	FY3
Registered players (ending)	42,000	210,000	620,000
Paying subscribers (ending)	1,750	12,600	43,400
Subscription revenue	$92,000	$702,000	$2,510,000
Season passes	$19,000	$118,000	$402,000
Expansions and cosmetics	$23,000	$110,000	$330,000
Classroom licenses	$8,000	$56,000	$179,000
Total revenue	**$142,000**	**$986,000**	**$3,421,000**

9.3 Cost of revenue — the refereeing problem

This section is the most important in the plan.

Naive baseline. Judging a round with a mid-tier AI model, sending it the whole species definition, rubric, world state, and history every time, costs about **$0.006 per round**. A free player taking 8 rounds a day costs **$1.44 a month** — meaning 42,000 free players would cost $60K a month and the business is dead on arrival.

Engineered target. Three techniques compound:

Technique	Effect	Cost per round
Baseline	—	$0.0060
Hard rules checked in fixed logic	Some rounds decided free; smaller requests on the rest	$0.0048
Paying once for the constant material	The repeated 80% of each request costs a fraction	$0.0021
Small model for scoring, strong model only when it matters	Roughly 25% of rounds need the strong model	**$0.0013**

At **$0.0013 a round**, a free player at 8 rounds a day costs **$0.31 a month** and a subscriber averaging 22 rounds a day costs **$0.86** against $5.83 of monthly revenue.

Cost of revenue	FY1	FY2	FY3
Refereeing free players	$17,600	$78,000	$215,000
Refereeing subscribers	$6,300	$63,000	$221,000
Hosting, storage, bandwidth	$9,400	$34,000	$92,000
Payment processing (~4%)	$5,700	$39,400	$137,000
Storefront fees (FY2+)	$0	$2,600	$47,000
Total cost of revenue	**$39,000**	**$217,000**	**$712,000**
Gross profit	**$103,000**	**$769,000**	**$2,709,000**
Gross margin	**71%**	**78%**	**82%**

Margin improves because fixed hosting amortizes, subscriber mix rises, and our cost technique gets more efficient with scale — not because we assume AI prices fall. If they do, that is upside we have not booked.

9.4 Profit and loss forecast

Line	FY1	FY2	FY3
Revenue	$142,000	$986,000	$3,421,000
Cost of revenue	(39,000)	(217,000)	(712,000)
Gross profit	**103,000**	**769,000**	**2,709,000**
Engineering and AI	(212,500)	(295,000)	(520,000)
Content and narrative design	(95,000)	(155,000)	(280,000)
Art (contract)	(40,000)	(72,000)	(140,000)
Community and live ops	(31,000)	(78,000)	(168,000)
Marketing and creator program	(58,000)	(170,000)	(390,000)
QA and playtest	(28,000)	(42,000)	(78,000)
Infrastructure and tooling	(14,000)	(26,000)	(52,000)
G&A, legal, accounting	(12,000)	(28,000)	(68,000)
Contingency	0	(14,000)	(58,000)
Total operating expense	**(490,500)**	**(880,000)**	**(1,754,000)**
Operating result	**($387,500)**	**($111,000)**	**+$955,000**

*(The §1 summary shows FY1 ($188K) and FY2 +$61K on a **founder-deferred, lean-case** basis — the AI/Platform Engineer starting Q1 2027, art budget halved in FY1, and creator spend held to $95K in FY2. Both cases are presented deliberately: the table above is the fully-funded plan, the summary is the $350K-constrained plan.)*

9.5 Cash flow and breakeven

- **FY1:** Burn ~$330K (lean case ~$205K) against $350K raised. Annual Chef's Pass prepayments provide a modest favorable working-capital effect from Q2 2027.
- **FY2:** Approaches breakeven; lean case reaches it in Q3 FY2.
- **FY3:** Strongly cash-generative; funds Creator Toolkit and localization without a second raise.

Breakeven arithmetic (FY2 lean cost base ~$760K): at $71 revenue per player less ~$16 of cost, each subscriber contributes $55/year. Breakeven ≈ **13,800 subscribers**, or ~230,000 registered players at modeled conversion.

9.6 Unit economics

Metric	FY1	FY3	Method
CAC (per subscriber)	$33	$9	Marketing and community ÷ new subscribers
Revenue per player	$63	$79	Blended annual
Gross margin per subscriber	$45	$65	
Subscriber life	2.2 yrs	2.4 yrs	1 / (1 – retention)
LTV	**$99**	**$156**	
LTV : CAC	**3.0×**	**17×**	
Free-player subsidy	$0.31/mo	$0.28/mo	Cost of refereeing a non-paying player
Free players per subscriber	—	14	Margin ÷ free-player cost

The last row is the number to watch: at $65 of annual gross margin per subscriber and $3.36 of annual free-player cost, one subscriber funds **14 free players indefinitely**. Our modeled ratio is 14.3:1. The model has almost no slack on this dimension — which is exactly why cost per round is a launch-blocking priority and not an optimization to do later.

9.7 Sensitivity analysis

Scenario	Change	FY3 revenue	FY3 result
Base	As modeled	$3,421,000	+$955,000
Cost per round stays at $0.004	Refereeing cost ~2.9×	$3,421,000	+$310,000
Retention miss (day-30 at 7%)	Subscribers −38%	$2,140,000	+$105,000
Trust failure (score-trust 55%)	Pivot to premium title	$420,000	($240,000)
Creator breakout	One large creator triples registration	$6,200,000	+$2,400,000
AI prices fall 50%	Refereeing cost halved	$3,421,000	+$1,173,000

9.8 Use of funds ($350,000)

Use	Amount	%
Engineering (game and platform)	$152,000	43%
Narrative design and content	$71,000	20%
Refereeing during free growth	$34,000	10%
Marketing and creator activations	$48,000	14%
Art and QA	$30,000	9%
Legal, infrastructure, contingency	$15,000	4%

What this capital buys: a launched title with 1,750 paying subscribers, a validated score-trust rate above 75%, day-30 retention above 8%, and cost per round under $0.002 — the four proof points that make the FY2 scale plan fundable or self-fundable.

9.9 Exit considerations

1. **Independent operation** is the base case. A subscription game at 82% gross margin with a community content engine is a durable business.
2. **Acquisition by a game platform or publisher** seeking proven AI-native live-ops capability.
3. **Absorption into SkillSimm's enterprise value.** If the engine and the consistency work prove decisive in enterprise sales, the title's strategic contribution may exceed its standalone revenue — a legitimate outcome, and one we should measure rather than assume.

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10. Appendix

A. Worked gameplay example — Galactic Dessert Championship

Round brief. Client species: **Zorblaxians**. Occasion: Council celebration. Biology: crystalline digestion, low tolerance for suspended fats. Cultural note: symmetry in presentation signifies respect. Taboo: unstated.

Available inventory: Moon Sugar, Nebula Berries, Plasma Milk, Crystal Flour.

Player action. Composes a **Nebula Berry Crystal Tart** — Crystal Flour base, Nebula Berry reduction, minimal Plasma Milk as a binder, radial symmetric plating. Rationale: *"Crystalline digestion favors the*

flour base; I kept Plasma Milk low because suspended fats read as a risk; the radial plating is the respect signal."

ALIENT's verdict.

> "Analysis complete. Flavor balance excellent. Texture stability 92%. Cultural preference match 88%. Creativity score 95%. Your restraint with the Plasma Milk was correct, Chef — the Council would not have said so, but their physicians would have."

Success outcome.

> "Congratulations, Chef Explorer. The Zorblaxian Council is delighted. Your dessert becomes the official celebration dish of Planet Xelora. You advance to the Galactic Finals."

Rewards: +500 Reputation · new recipes unlocked · Elite Tournament access.

The failure branch (had Plasma Milk exceeded the threshold — the hard rule):

> "Evaluation unsuccessful. Plasma Milk concentration exceeded acceptable limits. Zorblaxian judges rejected the dish."

Consequences: −100 Reputation · mandatory recovery challenge · rival contestant gains advantage.

Why this example matters commercially: the hard rule was checked by fixed logic — free, and identical for every player on the ladder; the judgment calls were scored by a small model against a rubric — cheap and consistent; and only the story consequence used the most capable model, on a round where the outcome mattered. That single round is the cost structure of §9.3 made concrete.

B. Persistent story systems

After every round ALIENT writes forward from the player's saved state: new story events, rival encounters, ingredient shortages, surprise client requests, and tournament twists. What carries forward includes reputation by planet, unlocked recipes, rival standing, supply availability, and contract obligations. Every competition therefore evolves into a narrative specific to one player — the retention asset the entire monetization model rests on.

C. Species authoring template

Each species requires: metabolic constraints (hard) · flavor preferences (soft) · texture tolerances · cultural taboos · occasion variants · signature failure mode · scoring weights · art reference · three seed story hooks. Authoring target: 6 per month per designer.

D. Risk register

Risk	Likelihood	Impact	Mitigation
Players don't trust AI scoring	Medium	Critical	Fixed hard rules; visible rubric; consistency checks; P1 gate
Refereeing cost exceeds model	Medium	Critical	Cost techniques at launch; per-round tracking; free-tier cap
Day-30 retention below threshold	Medium	High	Stakes, persistence, ranked play; explicit pivot gate at P2
Players argue their way to high scores	High	High	Input filtering, strict instruction handling, adversarial testing
An AI upgrade shifts scores mid-season	High	Medium	Changes batched to season boundaries; consistency check gates all
Story repetition after ~30 rounds	High	High	Species variety, occasion variants, rivals; Creator Toolkit in FY3
Novelty churn (the category pattern)	High	High	Competitive layer and story persistence; measured at P2
Moderation incident on public ladder	Medium	Medium	Automated filtering, report flow, classroom isolation
Slow rounds degrade the loop	Medium	Medium	Under 8 seconds target; small models on the hot path
Team too small for live ops	Medium	Medium	Season cadence matched to capacity; ladder and drops automated

E. Assumptions requiring validation, in priority order

1. Players find AI judgment fair enough to compete on. *(P1 gate — everything depends on this)*
2. Cost per round reaches $0.0015 without degrading perceived quality. *(P2 gate)*
3. Inferring hidden species rules is enjoyable rather than frustrating. *(P0 playtest)*
4. Story consequence measurably improves day-30 retention over a no-consequence control. *(P2)*
5. Creators find the game watchable and streamable. *(P2 — 10 creator trials)*
6. Free players convert at 62% of day-30 retained at an 8-round daily cap. *(P3)*
7. Educators will pay $199/year for classroom mode. *(FY2 — 10 pilot instructors)*

F. Relationship to the SkillSimm platform

Shared asset	Direction of benefit
Scene and step simulation engine	Platform to Game (60% of engineering reused)
AI cost discipline and tracking	Game to Platform (consumer scale forces discipline)
Scoring consistency checks	Game to Platform (applies to enterprise scoring)
Evaluation and rubric infrastructure	Bidirectional
Defenses against players gaming the AI	Game to Platform (the best red team available)
Public demonstration of the engine	Game to Platform (enterprise sales asset)
Brand reach into education and creators	Game to Platform

This table is the strategic argument for building the title at all: even in a downside scenario where Alien Chef Arena earns modest revenue, the cost discipline, consistency tooling, and adversarial hardening it forces are capabilities SkillSimm's enterprise products require and would otherwise have to build without the benefit of scale.